

Fearnleys Dry Bulk Market Outlook

Nov 7, 2024

Bernhard Baardson

SUMMARY AND OUTLOOK

Since our last report in late September, we have not changed our outlook for the Capesize/Newcastlemax segment. We expect next year's BCI5TC average to be somewhere in the mid-teens.

We have pointed to lower iron ore consumption in China and high iron ore port inventories in China as risk factors, and the last few months' developments in demand growth show that these factors have started to weigh on the market. Ton-time growth is markedly down, as shown in the Trade Flows section of this report.

We expect 2026 to be higher, and to what degree will depend on the eventual success of China's stimulus measures. The next 6 to 9 months' development in lending growth, the USDCNY currency pair, and inventory changes of iron ore and steel will be the key factors to watch in this regard.

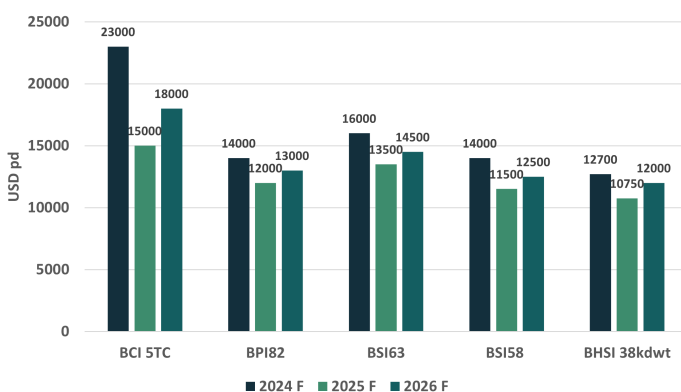
Regarding the outlook for the Kamsarmax, Ultramax, and Handysize segments, we still see macroeconomic risks building, and expect this to weigh on the markets until perhaps the middle of 2026. That said, the weakness in the Kamsarmax segment in particular came earlier than what we had thought a few months ago. A much weaker autumn grain season in the Atlantic has been the primary factor behind the market drop, along with the prevailing supply issues in seaborne coal markets.

Like in the Capesize segment, there has been a significant drop in ton-time growth for the Kamsarmax, Ultramax, and Handysize segments. That, along with the mentioned macroeconomic risks and high deliveries in the Ultramax and Handysize segments leads us to think these markets could average in the low teens next year rather than the mid-teens, as we previously expected. Fundamentals could start improving again in 2026, led by stimulus efforts in China, and probably supported by global rate cuts, along with lower supply growth than 2025.

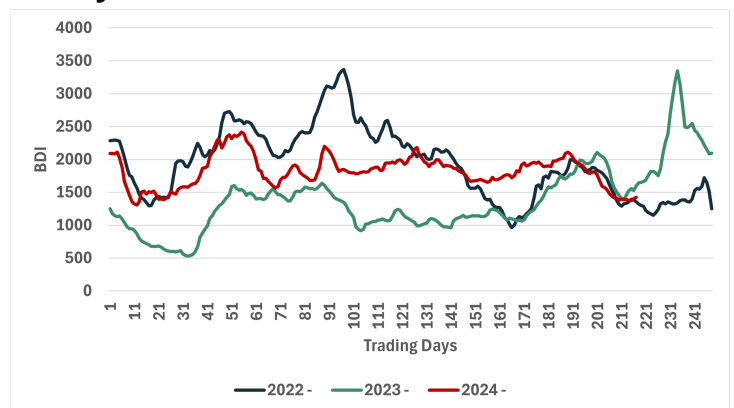
So, in terms of our "bearish timeline" we don't change the viewpoint, but it could be that 2025 will be lower on average than 2026.

Regarding asset values, there is a wide gap down to earnings, so we expect corrections across the board going forward. Given our fundamental outlook, we see asset values bottoming between Q4 2025 and Q2 2026.

Earnings Forecasts



BDI by Year



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SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 28.3 million DWT

Scrapping: 2.7 million DWT



Year on Year Fleet Growth: 3.2%

Fleet statistics per segment.

Handysize

Deliveries: 4.6 million DWT
Scrapping: 1.2 million DWT
Year on Year Fleet Growth: 3.0%

Supramax/Ultramax

Deliveries: 8.9 million DWT
Scrapping: 0
Year on Year Fleet Growth: 5.0%

Panamax/Kamsarmax

Deliveries: 7.7 million DWT
Scrapping: 1.2 million DWT
Year on Year Fleet Growth: 3.0%

Capesize/Newcastlemax

Deliveries: 7.1 million DWT
Scrapping: 0.7 million DWT
Year on Year Fleet Growth: 2.0%

Orderbook to Existing Fleet Ratios (in DWT terms)

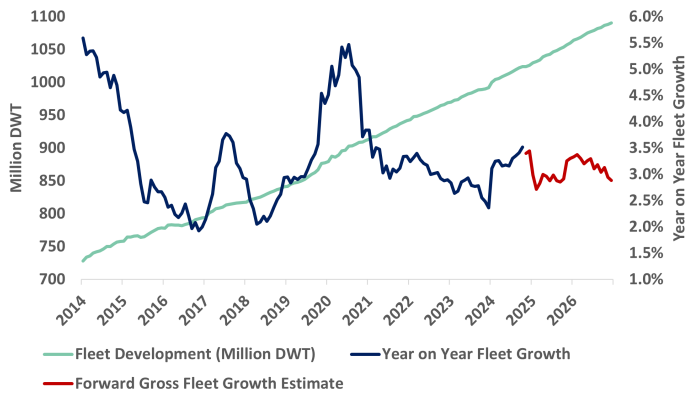
Total Fleet:	9.1%
VLOC:	3.7%
Capesize/Newcastlemax:	7.0%
Panamax/Kamsarmax:	11.4%
Supramax/Ultramax:	13.0%
Handysize 25-50kdwt	9.4%

Total fleet growth estimates

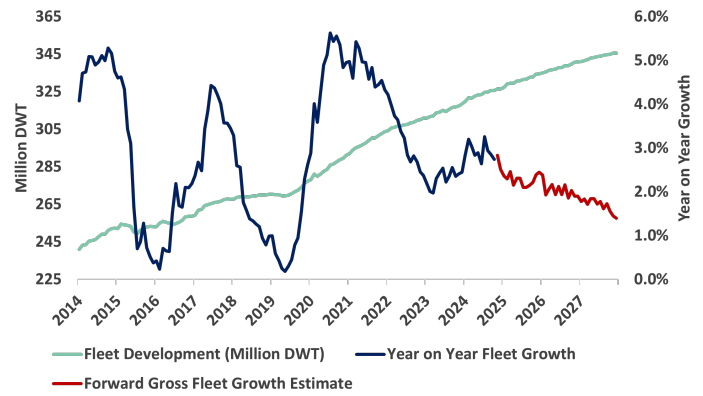
2024: About 3.0%
2025: About 3.0%
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



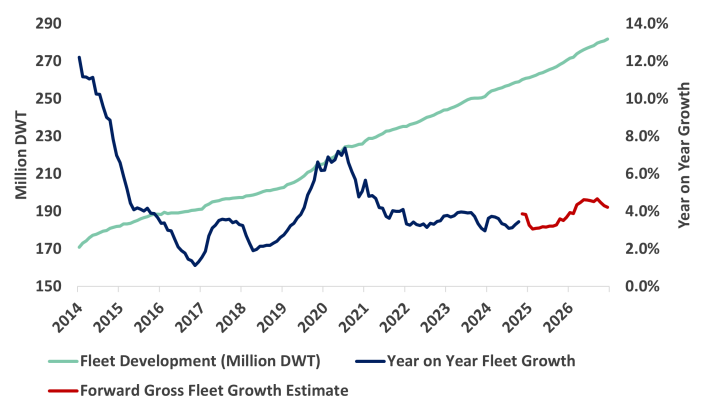
Cape/Newc Fleet Growth Including Estimate



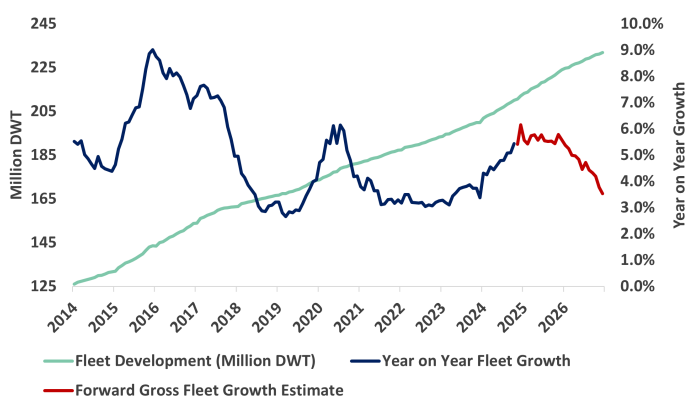
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



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PERIOD RATES AND ASSET VALUES

Basis the correlation between earnings and asset values since 2010, we believe the following adjustments have to be made in order to bring the relationship back to normal.

Handysize: 1-year time charter rates either have to rise above 15.000 USD pd, or the 10-year-old value has to fall to around 17 million USD.

Supramax: 1-year time charter rates either have to rise to the high-teens USD pd, or the 10-year-old value has to fall to

around 20 million USD.

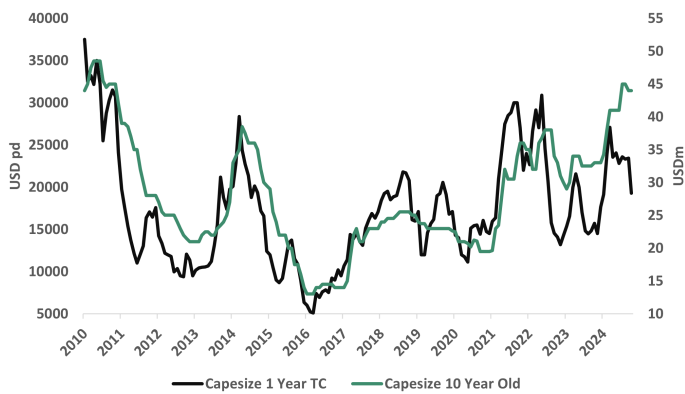
Kamsarmax: 1-year time charter rates either have to rise to the high-teens USD pd, or the 10-year-old value has to fall to around 20 million USD.

Capesize: 1-year time charter rates either have to rise towards 25.000 USD pd, or the 10-year-old value has to fall to around 35 million USD.

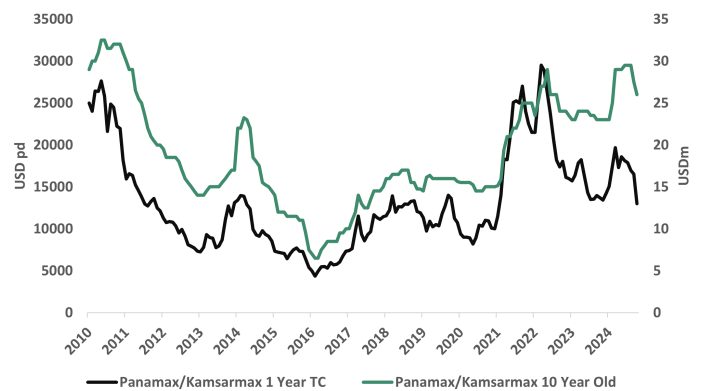
Softness across the board for values, as earnings have taken a turn for the worse. Going forward we expect further downside, as our outlook on fundamentals is bearish over the next year to year and a half.

Asset Values vs Period Rates

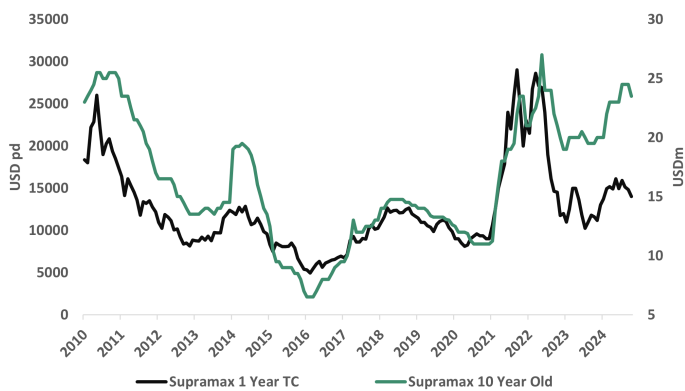
Capesize 1 Year TC vs Capesize 10 Year Old



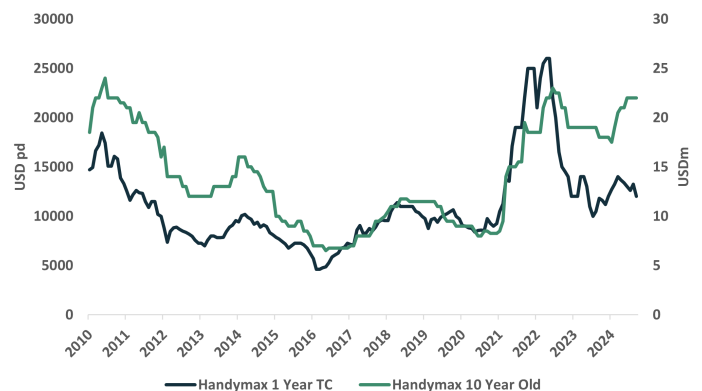
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



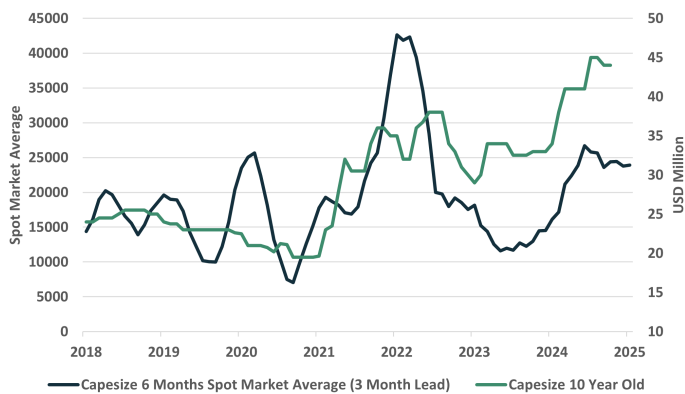
Handysize 1 Year TC vs Handysize 10 Year Old



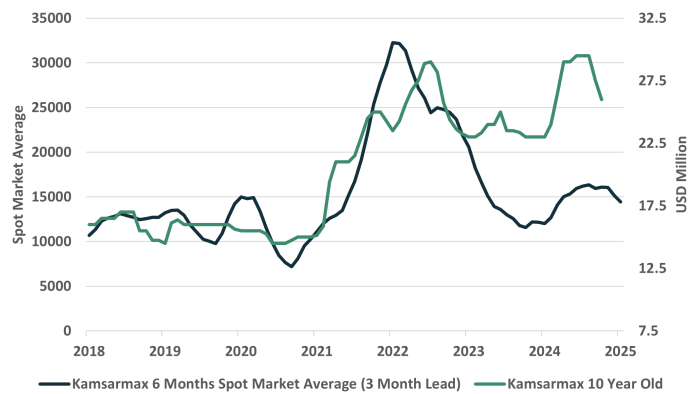
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Asset Values vs Spot Earnings Averages

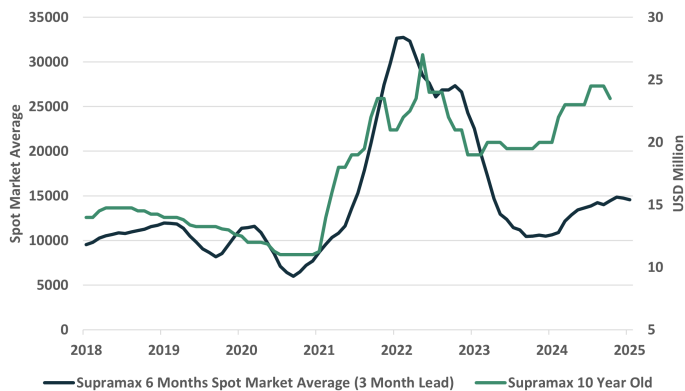
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



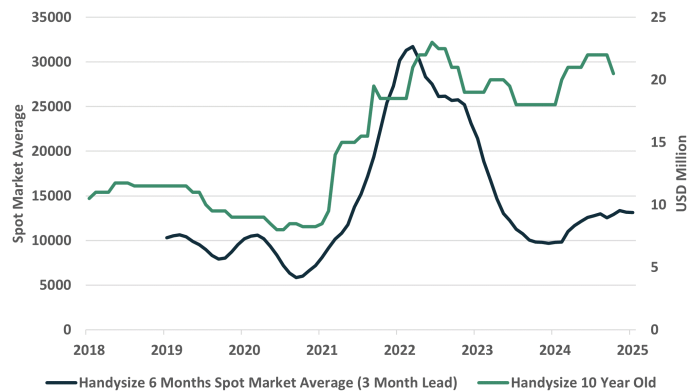
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

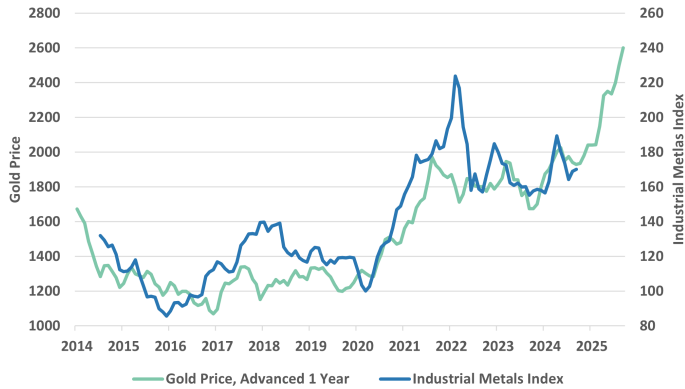


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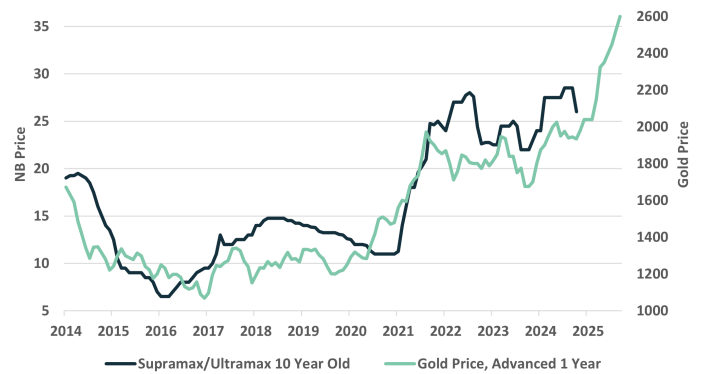
Asset Values vs Commodity Prices

The below chart displays the close correlation between commodity prices and dry bulk asset values. Rising inflation is always supportive of values, which is shown by the charts plotting the price of gold or industrial metals against the price of a 10-year-old Ultramax. The gold price often has a 1-year lead on values and is suggesting support for values until mid-next year. However, as written in the above section, earnings are the most important factor...

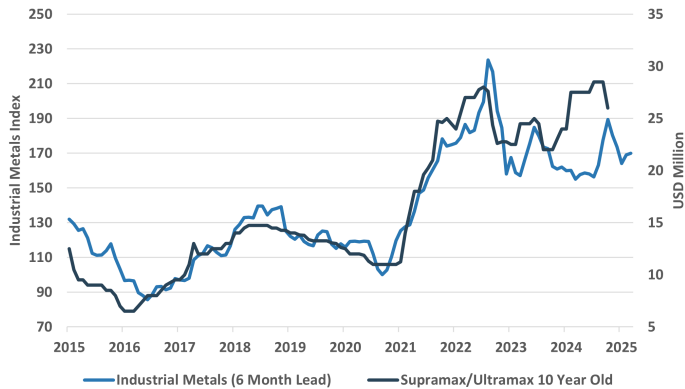
Gold Price (Moved Forward 1 Year) vs Industrial Metals Price Index



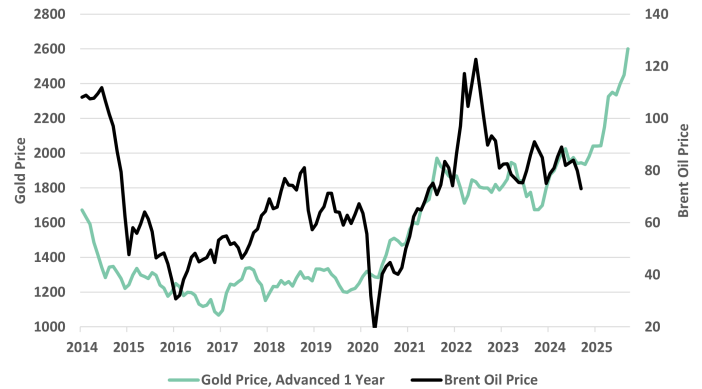
Gold Price (Moved Forward 1 Year) vs Supramax/Ultramax 10 Year Old



Industrial Metals Price Index (Moved Forward 6 Months) vs Supramax/Ultramax 10 Year Old Price



Gold Price (Moved Forward 1 Year) vs Brent Oil Price



S&P Global, FRED, Fearnleys

TRADE FLOWS

Below is a summary of trade flow statistics through October. There is growth across the board, although iron ore has weakened in the last months, whereas growth in coal trades remains low due to prevailing supply issues. Minor bulk growth remains firm, but increasing fleet growth in the Supramax/Ultramax segment counter-acts most of this strength. Grain trades remain positive year on year but since the middle of this year, there has been falling growth due to disappointing volumes out of Brazil and the US.

Developed economies remain in a (very) weak spot, as the lack of any cyclical upturn in manufacturing in Europe, Japan, and Korea weighs on the markets.

Year-on-Year Trade Flow Statistics Through October

Iron Ore

Exports

Australia: 0.9%

Brazil: 7.3%

Canada: 3.4%

India: -1.2%

South Africa: 1.1%



Total Exports: 3.2%

Imports

China: 4.0%

World ex-China: 3.6%

Coal

Exports

Australia: 3.7%

Colombia: 2.6%

Indonesia: 6.7%

Russia: -15.8%

South Africa: 0.0%

USA: +7.0%

Total Exports: +2.0%

Imports

China: 11.1%

India: 4.0%

South East Asia: 11.4%

Europe and Med: -21.3%

South America: -1.3%

Japan: -1.9%

Korea: -4.8%

Grains

Total Exports: 6.5%

Brazil: 2.8%

Argentina: 52.0%

Russia: -6.1%

Ukraine: 172%

USA: 11%

China Imports: 4.2%

Minor Bulks

Breakbulk: 0.2%

Fertilizers: 7.7%

Steels: 16.0%

Other Minor Bulks: 4.6%

Bauxite: +14.0%

Total Minor Bulks: 6.0%

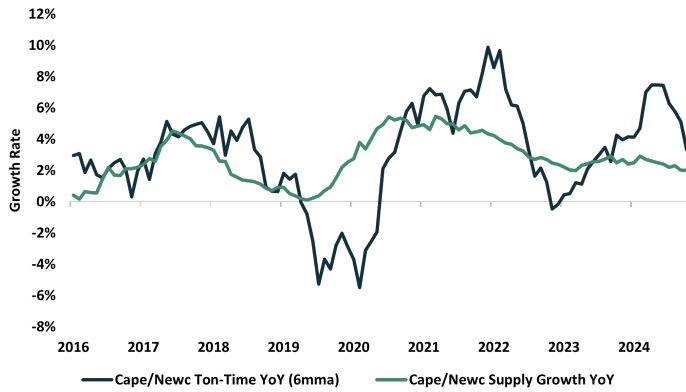
Total Atlantic Exports Growth: 4.8%

Total Pacific Exports Growth: 3.1%

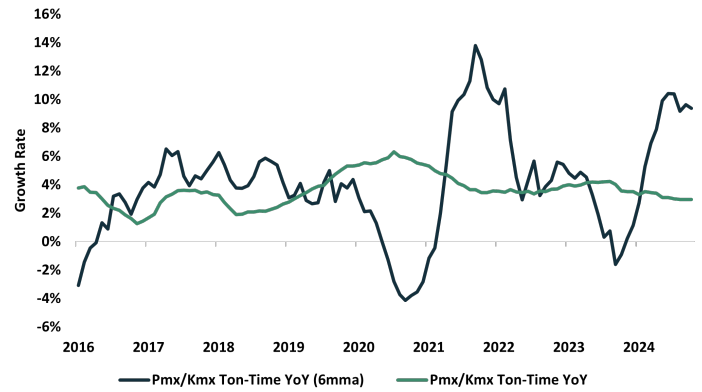
Total Exports Growth: 4.2%

Total Supply Growth: 3.2%

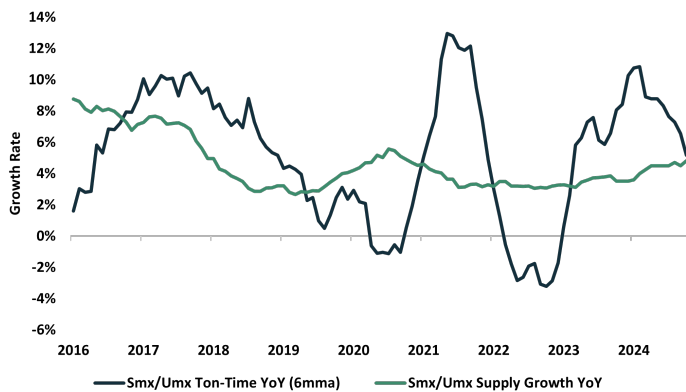
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



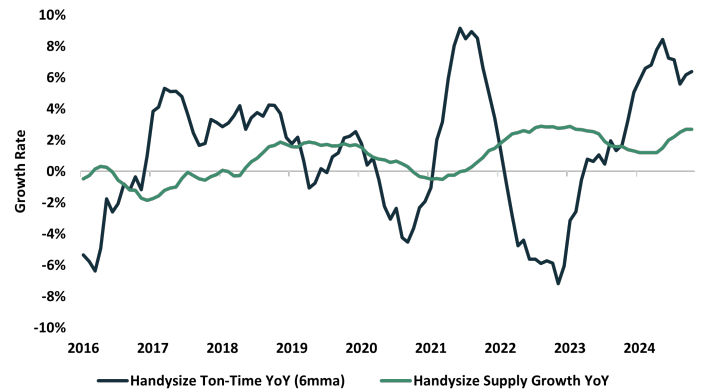
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



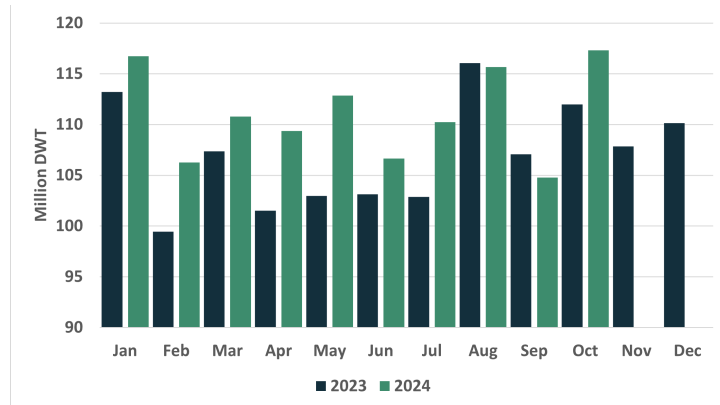
Supramax/Ultramax Ton-Time Growth vs Supply Growth



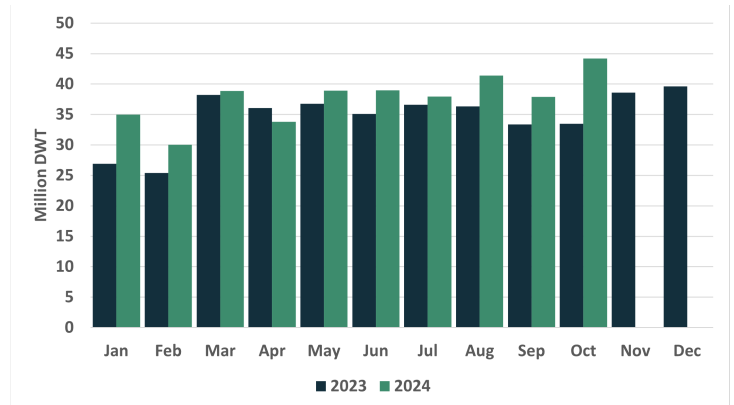
Handysize Ton-Time Growth vs Supply Growth



China Iron Ore Imports, 2023 vs 2024



China Coal Imports, 2023 vs 2024



MACRO ECONOMIC OUTLOOK

China's currency trades under a so-called 'managed float', which means the central bank is heavily involved in trying to keep it trading around a desired level. This process sometimes obviously involves buying Yuan against the USD, and vice versa. The USDCNY is therefore an important part of the domestic liquidity situation. Recent stimulus measures in China

will naturally involve expanding the domestic money supply to fund infrastructure projects as well as trying to revive the property sector. That, along with weaker domestic economic growth rates means there should be heavy downward pressure on the Yuan.

To counteract this downward pressure, the central bank has to buy increasing amounts of Yuan to keep the currency stable, with the flipside of this being that it nullifies other liquidity-increasing factors. That is why there is a very high correlation between the 9-month lead of the year-on-year change of the USDCNY and China's year-on-year growth of dry bulk imports. The chart displaying this relationship is shown in the middle left below. Over the last year, the Yuan has strengthened relative to the USD, which strongly suggests China's dry bulk import growth will continue to fall over the coming 9 months.

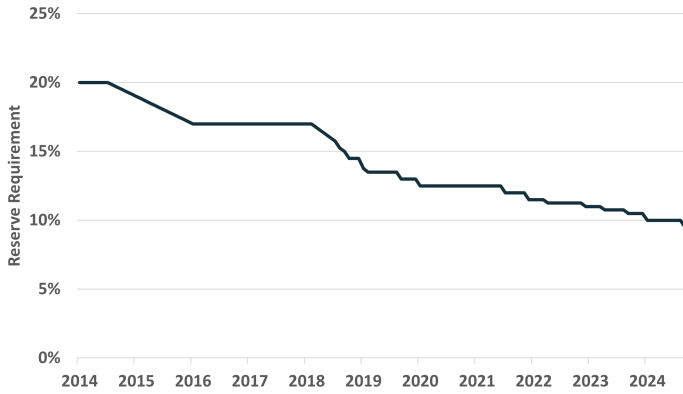
In our view, China's government has to allow the Yuan to weaken considerably going forward for the stimulus measures to succeed. The other thing to watch in this regard is obviously the actual financing growth domestically. Reserve requirement and interest rate cuts have not led to higher financing growth this year, which in our view goes back to the still too-strong currency. Seasonally, monthly financing is always the highest during Q1, especially in January. It will therefore be very interesting to see how high (or low) those numbers are at the beginning of next year.

Before we see a combination of a weaker currency and increasing domestic financing growth, we cannot definitely say that China's stimulus measures will work. In any case, there is always a lag before better financing conditions impact dry bulk markets, so there is not enough time in our view to fix fundamentals for 2025 already. Imported iron ore consumption is lower by about 4% year on year, so to start with, that must make up lost ground just to bring it back to the same levels as in 2023. Further, iron ore port inventories are at similar heights to late 2021/early 2022 and early 2018. We think stocks will be drawn closer to historical averages going forward like it was following those periods. Negative iron ore import growth to China next year therefore looks highly likely, in our view.

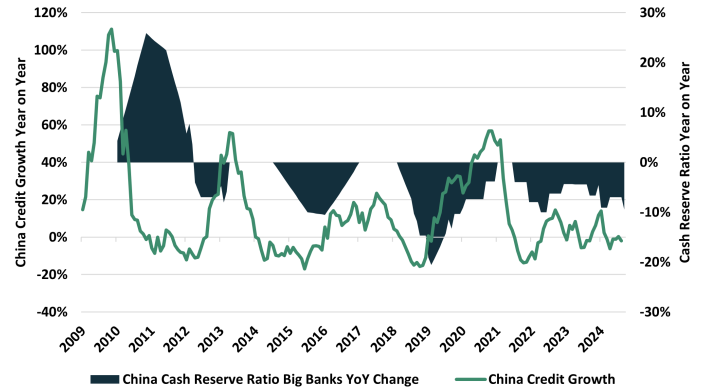
China's bulk commodity import growth in turn is an important driver of the global macroeconomic cycle. This is displayed on the bottom left chart, which plots OECDs economic indicator for the G-20 countries in aggregate vs the 1-year lead of China's bulk commodity imports. China's weakening import growth is strongly suggesting the macroeconomic cycle is close to a peak and about to head downwards. This will, in turn, impact World ex-China dry bulk demand, and is a major reason for our bearish outlook for the markets next year. In terms of manufacturing, the global picture is already quite weak, with countries/regions with PMI readings below 50 outnumbering those with a reading above 50. Many analysts had expected a bit more strength from the Eurozone, US, Japan, and Korea this year than what has been the case, but it seems like the overhang from the massive manufacturing boom in 2021/22 is too heavy for a recovery to materialize. Recently, several emerging markets' manufacturing activity has also weakened, probably as a result of the slowdown in China along with the lack of upturn in developed economies. In our view, global interest rates need to be cut significantly for a manufacturing recovery to happen. It seems like that process has started, but there is still a way to go, and these things take time before it impact the real economy.

With this backdrop, it is hard to see where a recovery in dry bulk demand growth shall come from the next year. China's iron ore demand looks weak, developed economies' manufacturing is unlikely to recover, and emerging markets' growth is likely to be lower than this year because of that. Coal supply issues are likely to prevail, with Indonesia still the only major exporter that seems capable of adding significant volumes. Minor bulk growth will of course be impacted by a weaker macroeconomic backdrop, which leaves grains as the only potential bright spot next year. That could cause some spot market spikes for the Kamsarmax, Ultramax, and Handysize segments, but any eventual strength there is not enough to counter-act weakness in the other commodity groups.

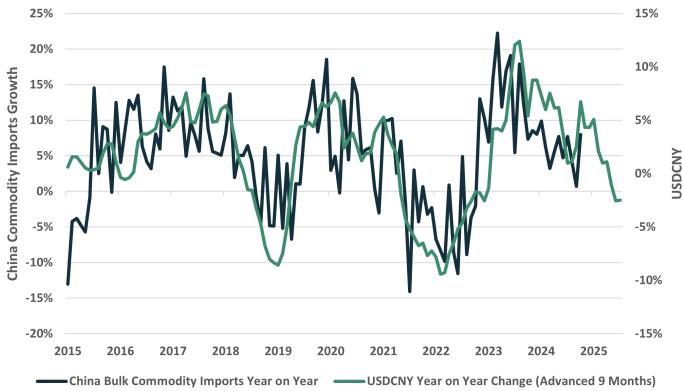
China Cash Reserve Requirement Ratio



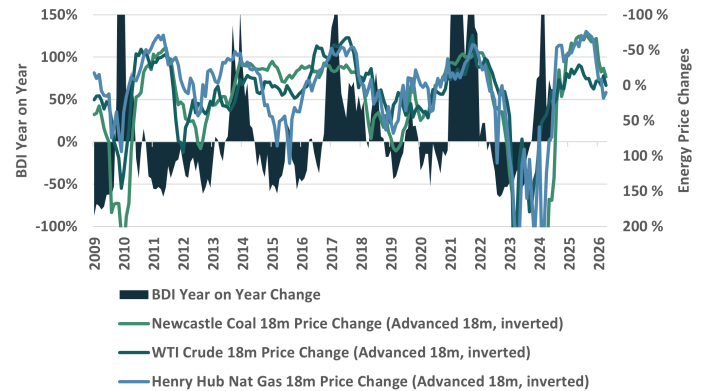
China Cash Reserve Requirement Ratio YoY vs Credit Growth



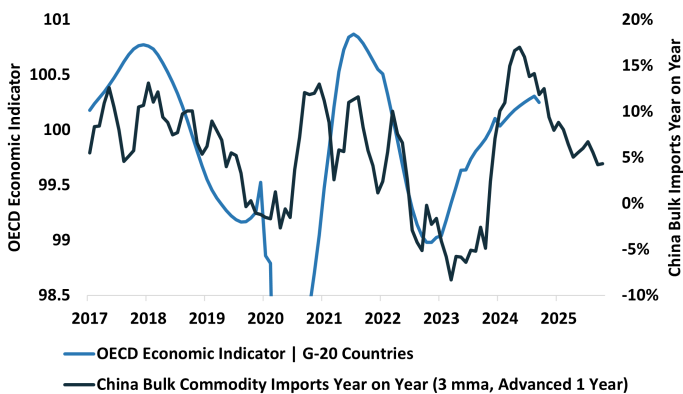
USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



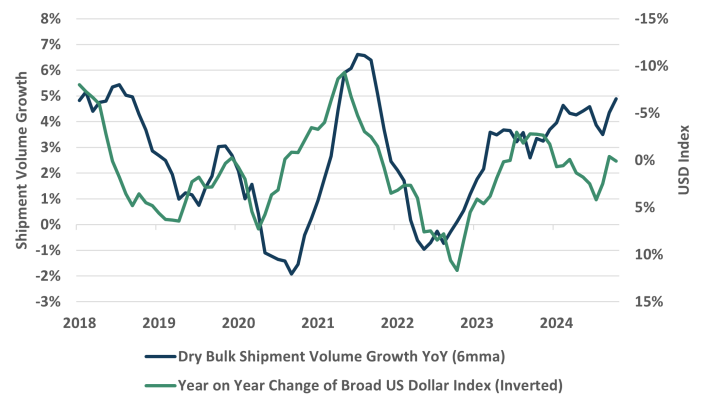
Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change



China Bulk Commodity Imports Lead vs OECD Economic Indicator



USD (3 Months Lead) vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange



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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

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